IN THE NATIONAL COMPANY LAW TRIBUNAL
DIVISION BENCH (COURT– I) CHENNAI

ATTENDANCE CUM ORDER SHEET OF THE HEARING
HELD ON **30.10.2025** THROUGH VIDEO CONFERENCING

PRESENT: **HON'BLE SHRI. SANJIV JAIN, MEMBER (JUDICIAL)**
HON'BLE SHRI. VENKATARAMAN SUBRAMANIAM, MEMBER (TECHNICAL)

APPLICATION NUMBER **:** CA(CAA)/65(CHE)/2024

PETITION NUMBER **:** CP(CAA)/15(CHE)/2025

NAME OF THE PETITIONER(S) **:** Nabkisan Finance Ltd

NAME OF THE RESPONDENTS **:**

UNDER SECTION **:** Sec 230-232 of CA, 2013

ORDER

Present: Ld. Counsel Shri. Dev Motta for the Petitioner.

Vide separate order pronounced in Open Court, the scheme is approved.

File be consigned to records.

Sd/-
(VENKATARAMAN SUBRAMANIAM)
MEMBER (TECHNICAL)

Sd/-
(SANJIV JAIN)
MEMBER (JUDICIAL)

MG

Date: 30.10.2025

IN THE NATIONAL COMPANY LAW TRIBUNAL, DIVISION BENCH - I, CHENNAI

CP(CAA)/15(CHE)/2025
in
CA(CAA)/65(CHE)/2024

(Under Sections 230 to 232 of the Companies Act, 2013
In the matter of Scheme of Arrangement (Demerger) between

NABKISAN FINANCE LIMITED
CIN: U65191TN1997PL037525
3RD Floor, NABARD Regional Office Building,
No.48, Mahatma Gandhi Road, Nungambakkam,
Chennai, Tamil Nadu, India – 600 034

… Applicant/Transferee/Amalgamated Company

And

NABSAMRUDDHI FINANCE LIMITED
CIN: U65910TG1997PLC026442
NABARD Telangana Regional Office,
Ground Floor, 1-1-61, RTC – X Road,
Musheerabad, Hyderabad,
Telangana, India – 500 020

…Non-Applicant/Transferor/Amalgamating Company

and their respective Shareholders and Creditors.

*Order Pronounced on **30th October, 2025***

CORAM:

SANJIV JAIN, MEMBER (JUDICIAL)
VENKATARAMAN SUBRAMANIAM, MEMBER (TECHNICAL)

For Petitioners: Souvik Ganguly, Mr. Deni Shah, Ms. Vidushi Maheshwari, Ms. Purvi Doctor, Mr. Akhil Ramesh, Mr. Altamash Qureshi and Ms. Richa Phulwani, Advocates for Acuity LLP
G.Ramachandran, PCS
For Regional Director: Mr. Avinash Krishnan Ravi, Advocate

ORDER

1. The Company Petition bearing **CP(CAA)/15(CHE)/2025** has been filed by **NABKISAN FINANCE LIMITED** under Sections 230 – 232 of the Companies Act, 2013, and other applicable provisions of the Companies Act, 2013 read with other applicable provisions of Companies (Compromise, Arrangements and Arrangements) Rules, 2016 and NCLT Rules 2016 in respect of the Scheme of Arrangement (Demerger) (hereinafter referred to as "**the Scheme**") pursuant to the Scheme proposed by the Petitioner Company. The Scheme is placed at **Page 227-246** of the Petition Typeset.

2. Affidavit in support of the petition has been sworn in by Shri Prasad Rao on behalf of the Petitioner Company in the capacity of authorised signatory/Managing Director & Chief Executive Officer. The corresponding Board Resolution dated 28.04.2024 passed by the petitioner company is placed as **Annexure E**.

3. **SCHEME SUMMARY**

The Scheme of Amalgamation is that Transferor Company and Transferee Company are both subsidiaries of National Bank for Agricultural and Rural Development (NABARD), a body corporate established under National Bank for Agricultural and Rural Development Act, 1981. By this Petition, they have proposed for a scheme of amalgamation of the Transferor/Non-Applicant/Amalgamating Company with the Transferee/Applicant/Amalgamated Company.

4. **RATIONALE OF THE SCHEME**

4.1 Enable the integration of the business activities of the Amalgamating Company with the Amalgamated Company since both the companies are similar insofar as promotion, expansion and commercialization of various entities for the development and upliftment of rural economy;

4.2 Yield significant advantages including benefit to shareholders and other stakeholders of the respective companies by providing business synergies and consolidating and simplifying the group structure, business operations and provide optimal utilization of various resources and will not be prejudicial to the interest of shareholders, creditors and other parties involved in any manner;

4.3 Reduce the costs of operations and achieve economies of scale by effective utilization of resources like infrastructure, human, financial, etc.

4.4 Lead to more geographical reach through each other's customer base diversification and integration of the various products/services offered by both the companies

4.5 Lead to use of core competencies of both the management and other human resources.

4.6 Avoid duplication in exposure since both the companies are undertaking their lending operations through various institutions, NBFCs etc. This Scheme will help in having a better lending rate, risk management, avoidance of exposure to same clients, if any and will lead to secure a higher financial capacity that can be deployed to further business development.

4.7 Augment NABARD's endeavour to reach out through its current and future products/projects to a larger underserved rural population and will lead better monitoring by one large entity rather than two entities engaged in similar activities.

4.8 Enhance growth prospects, and thus, be in the interest of and for the welfare of, the employees of the companies concerned in this Scheme, and will also be in the larger interest of the public.

5. 1ST MOTION APPLICATION (CA(CAA)/65(CHE)/2024) – IN BRIEF

5.1 The petitioner company had filed the First Motion Application and sought for following reliefs;

	EQUITY SHAREHOLDERS		SECURED CREDITORS	UNSECURED CREDITORS
TRANSFEREE COMPANY/ AMALGAMATED COMPANY	Dispense with meeting	NA	Dispense with meeting	Dispense with Meeting
TRANSFEROR COMPANY /AMALGAMATING COMPANY	Dispense with meeting	NA	Dispense with meeting	Dispense with meeting

5.2 Based on the submissions, this Tribunal vide order dated 24.01.2025 allowed the first motion application and dispensed with the meetings as sought for by the Petitioner.

6. In the 2nd motion petition filed by the Petitioner Company, this Tribunal vide order dated 23.04.2025 directed the Petitioner Company to issue notice to the Statutory Authorities/Sectoral Regulators and also directed to issue paper publication in "Business Standard" English (All India Edition) and "Dinathanthi" (Tamil Nadu Edition).

7. In compliance with the directions of this Tribunal, the petitioner company effected paper publications in "**Business Standard**" **English** (**All India Edition**) and "**Maalai Malar**" **Tamil** (**Tamil Nadu Edition**) on 03.05.2025. Notices to the statutory authorities were sent on 06.05.2025. Affidavit to this effect has been filed by the Petitioner Company on 09.05.2025.

8. **STATUTORY / REGULATORY AUTHORITIES**

8.1 **REGIONAL DIRECTOR**

8.1.1 The Regional Director (RD), Southern Region to whom the notice was issued has filed his report vide SR No.3339 dated 11.08.2025 and made the observations. The relevant portion of observations are as below:

Para	**Observations**
7	*Clause 5.1 of the Scheme provides that upon the Scheme becoming effective, in consideration of amalgamation and transfer and vesting of all assets and liabilities, duties rights and obligations relating to the Transferor in the Transferee in terms of Part B of the Scheme, the Transferee shall without any further act or deed, issue and allot 55(fifty five) equity shares of Rs.10/- each fully paid up of the Transferee Company for every 58(fifty eight) equity shares of Rs.10/- each fully paid up held by the equity shareholders in the Transferor Company, as on the Record Date.*
8	*Clause 4.8 of Part II of the Scheme provides that upon the Scheme becoming effective and with effect from the effective date, the accounts of the amalgamated company as on the Appointed dated shall be reconstructed in accordance with the applicable provision and terms of the Scheme. The Amalgamated Company shall be entitled to revise its income tax returns, wealth tax returns, TDS returns and other statutory returns as may be required under law.*
9	*Clause 4-5 of Part II of the Scheme provides that upon the Scheme becoming effective, all staff, workmen and employees engaged by the Transferor Company immediately before the Effective Date shall become the staff, workmen and employees of the Transferee Company on the basis that their service shall have been continuous and shall not have been interrupted by reason of the amalgamation. The terms and conditions of service applicable to the said staff, workmen or employees after such transfer shall not in any way be less favourable to them than those applicable to them immediately before the transfer.*

10	*As per the report dated 30.05.2025 of ROC, Chennai the Transferee Company is regular in filing statutory returns and has filed up to financial year 31.03.2024. ROC, Chennai has further stated that there is no prosecution/ complaint/ inspection or investigation pending against the companies involved in the Scheme of Amalgamation.*
11	*That the observations made by the RoC, Chennai vide report dated 30.05.2025 are dealt with by this Directorate as under:-* *11.2.1. Statutory Auditor vide Audit report of the Transferee Company during the FY 2022-223 has stated that report under Section 143(12) has been filed in form ADT-4 as prescribed under Rule 132 of the Companies (Auditors) Rules, 2014 during the said Financial year.* *11.2.2. In this regard, Directorate vide letter dated 22.07.2025 had requested the Statutory Auditor M/s.G.Balu Associates LLP, Chartered Accountants to furnish the copy of acknowledgement of filing of Form ADT-4 with the Central Government for which the auditor vide letter dated 29.07.2025 had replied that due to oversight, the matter was inadvertently referenced under Clause (ix)(b) in Annexure A to the Auditor's Report for Financial year 2022-23. Also, Auditor has confirmed that they have not filed any Form ADT – 4 as mentioned in the said clause of the Audit report. Copy of this Directorate's letter dated 22-07-2025 and Auditor's reply dated 29.07.2025 is enclosed herewith and collectively marked as Annexure –A. Therefore, the statutory auditor has contravened the provisions of Section 143 of the Companies Act, 2013. Hence, Transferee Company may be directed to submit an affidavit stating that the Statutory Auditor of the Company has undertaken to file necessary compounding/adjudication application as applicable for the said contravention.* *11.3 Statutory Auditor has also stated in the Audit report for the financial year ended 31.03.2024 that the Company has, in respect of other than ongoing projects, unspent amount aggregating to Rs.27.87 lakh towards CSR which has not been transferred to a fund specified in Schedule VII of the Companies Act, 2013 in compliance with the provisions of Sec.135(5) of the Act, till the date of audit report since the time period for such transfer i.e. 6 months*

	from the end of the Financial Year has not elapsed till the date of the report. *In this regard, Transferee Company may be directed to undertake to submit compliance report on transfer of CSR unspent amount within the time period of 6 months from the end of the financial year.* *11.4 The Company has one active pending charge of Rs.100,00,00,000 with SBI, however, the same has not been showed as Secured Creditor. In this regard, Transferee Company may be directed to undertake to clarify the same.*
12	*12.1 That the observations made by the Official Liquidator, Chennai vide letter dated 13.05.2025 are dealt with by this Directorate as under:* *12.2 Statutory Auditor vide Audit report of the Transferee Company during the FY 2022-23 and 2023-24 has stated that as per notification No.GSR 463(E) dated 05th June 2015 issued by the Ministry of Corporate Affairs, Government of India, Section 164(2) of the Companies Act, 2013 with respect to disqualification of directors is not applicable to the Company. However, such exemption is not applicable to the transferee company as not falling as Government Company u/s 2(24) of the Companies Act, 2013. Company vide letter dated 02.06.2025 has submitted a reply enclosing Statutory Auditor clarification stating that no Director of NABKISAN was disqualified under clauses (a) or (b) of Section 164(2) of the Act. Copy of the Official Liquidator's letter dated 13.05.2025 and Company's reply dated 02.06.2025 is enclosed herewith and collectively marked as Annexure – B.* *12.3 In this regard, it is seen that the Transferee Company is a Subsidiary of NABARD and not a Government Company as per Section 2(24) of the Companies Act, 2013. Hence, the Statement provided by the Statutory Auditor in the Auditors report for the financial year 2022-23 and 2023-24 is not correct.* *Therefore, the Statutory Auditor has contravened the provisions of Section 143 of the Companies Act, 2013. Hence, Transferee Company may be directed to submit an affidavit stating that the Statutory Auditor of the Company will undertake to file necessary*

	compounding / adjudication application as applicable for the said contravention.
13	*It is submitted that the Petitioner Companies may be directed to comply with the provisions of Section 232(3)(i) and Sec 240 of the Companies Act, 2013.*
14	*The Scheme of Amalgamation filed with the application has been examined and submissions made more particularly at Para. No. 11, 12 and 13 are placed and it is prayed that this Tribunal may kindly dispose of the matter on merits and pass such order/orders as deemed fit and proper*

8.1.2 The Petitioner Companies in reply to the RD report has filed an affidavit vide SR No. 3646 dated 002.09.2025.The response is extracted here below:

Paragraph No. in the RD's Report	**Response of the Applicant/Transferee**
11.2.2 and 12.3	The Applicant has obtained an undertaking from its auditors for FY 2022-2023, viz. G Balu Associates LLP, that they shall ensure that appropriate steps are taken under the Companies Act, 2013 ("Act"), including filing necessary compounding / adjudication application, if applicable, based on the RD Report so as to rectify the contravention referred to in the paragraphs under response. A copy of the undertaking obtained from G Balu Associates LLP is annexed hereto and marked as Exhibit "A"

11.3	From the contents of the paragraph under response, it appears that the RD wishes to allude to the audit report for the FY ended 31.03.2023 and not 31.03.2024 as it was in the report for the FY ended 31.03.2023 that the auditor made the observation that the Applicant had, in respect of other than ongoing projects, an unspent amount aggregating to Rs.27.87 lakh towards Corporate Social Responsibility (CSR), which has not been transferred to a Fund specified in Schedule VII of the Act in compliance with the provisions of Section 135(5) of the said Act, till the date of the Auditor's report as the time period for such transfer, i.e., six months from the end of the financial year, has not elapsed till the date of the auditor's report. Relevant extract of Annexure — A to the Auditors Report for the FY ended 31 March 2023 is annexed hereto and marked as Exhibit "B" With respect to the amount of Rs.27.87 lakh, it is stated that the same pertained to projects sanctioned under CSR during FY 2022-23 and the same was fully spent within Six months from the end of the following financial year. As the entire amount has been spent with the timelines prescribed, there is no unspent CSR amount for FY 2022-23. Copy of the utilisation certificate is annexed hereto and marked as Exhibit C.

11.4	The Scheme of Amalgamation between the Transferor and Transferee ("Scheme") was approved by the Board of the Transferee on 28 May 2024. Following the approval of the Scheme, the captioned Petition came to be filed on 8 February 2025. As on the date of approval of the Scheme and the filing of the captioned Petition, there were only two creditors, of which State of Bank India was not the one. After filing of the captioned Petition, a fresh working capital facility to the tune of Rs. 100 crore was availed by the Applicant from the State Bank of India. This working capital facility was sanctioned on 23 April 2025, i.e., during the current FY 2025-2026. Accordingly, it could not be shown in the captioned petition as a creditor of the Applicant. A copy of the sanction letter issued by the State Bank of India with respect to the aforesaid working capital facility is annexed hereto and marked as Exhibit "D".
12.3	With respect to the paragraph under response, it is noted that in the body of the Report, the RD has mentioned FYs 2022-2023 and 2023-2024. However, in the annexures, he has annexed the relevant portions of the independent auditor's report for only FY 2023-2024. However, since FY2022-2023 has been referred to in the body and the report for that FY also contains similar observations as seen in the report for FY 2023-2024, the

	Applicant has obtained an undertaking in this regard from its auditors for FY 2022-2023 as well. This undertaking has already been annexed to as Exhibit "A". Further with respect to FY 2023-2024, viz. L.U. Krishnan & co., the Applicant has obtained an undertaking from them that they shall ensure that appropriate steps are taken under the Act, including filing necessary compounding / adjudication application for the said contravention to ensure that the contravention referred to in paragraph 12.3 of the RD'S report is rectified. A copy of the said undertaking obtained from L.U. Krishnan & co., is annexed hereto and marked as Exhibit E. Further, during the course of hearing in the captioned matter on 20 August 2025, the learned counsel for the RD pointed out that the clarification dated 23 May 2025 issued by the auditors for FY 2023-2024, viz. L.U. Krishnan & Co. (annexed as Annexure 2 to the RD'S Report) did not contain a Unique Document Identification Number (UDIN). Accordingly, this Tribunal directed the Applicant to look into the issue. As per the directions of this Tribunal, the Applicant examined the clarification and learnt that the same did not have a UDIN. As there was no UDIN, the Applicant promptly requested its auditors to reissue the

	clarification with a UDIN. The auditors have, acceded to the Applicant's request, reissued the clarification with the UDIN. A copy of the clarification reissued with the UDIN is annexed hereto and marked as Exhibit "F".
13	Clause 8.1 of the Scheme (Volume III — Pg. 242 of the captioned Petition) provides that stamp duties and fees paid on the authorized capital of the Amalgamating Company shall be utilized and applied to the increased authorized share capital of the Amalgamated Company and there would be no requirement for any further payment of stamp duty and/ or fee by the Amalgamated Company for increase in the authorized share capital to that extent. The Transferee shall comply with all applicable laws prior to and after the Scheme is sanctioned. Accordingly, the Transferee undertakes to pay the difference in fees, if any, in accordance with Section 232(3)(i) of the Act.

8.2 **Official Liquidator**

8.2.1 The Transferee Company pursuant to the order dated 23.04.2025 issued a notice in Form No.CAA3 to the Office of the Official Liquidator, Chennai. It is noted that, the Official Liquidator, Chennai does not have jurisdiction as the Transferee Company is not getting liquidated and since the Transferor Company is having its registered

office in Hyderabad, the Official Liquidator, Hyderabad has the jurisdiction. Although the Official Liquidator, Chennai does not have jurisdiction, it sent a letter dated 13.05.2025 addressing the Transferee Company and the same is extracted here below:

Website: www.olchennai.in
Email id: ol-chennai-mca@nic.in
:ol.chennai@mca.gov.in

Telephone: (044) 25271149/51
Fax:(044) 25271152

GOVERNMENT OF INDIA
MINISTRY OF CORPORATE AFFAIRS
OFFICE OF THE OFFICIAL LIQUIDATOR, HIGH COURT, MADRAS
'CORPORATE BHAWAN', II FLOOR, 29, RAJAJI SALAI, CHENNAI -600 001.

F.No.31/2025/Nabkisan

Date: 13/05/2025

To
Nabkisan Finance Limited,
(Transferee Company)
3rd Floor, NABARD Regional
Office Building, No.48, Mahatma Gandhi Road,
Nungambakkam, Chennai – 600 034
Email id: finance@nabkisan.org

Attention: Shri. Prasad Rao, MD & CEO
*****

Sub: In the matter of Scheme of Amalgamation of Nabsamruddhi Finance Limited (Transferor Company) with Nabkisan Finance Limited (Transferee Company) under Sections 230-232 of Companies Act, 2013 – reg.

Ref: Notice in Form No.CAA-3 dated 02/05/2025 from Nabkisan Finance Limited (Transferee Company) received on 06/05/2025
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Sir,

Notice in Form No.CAA3 along with annexures issued by Transferee Company (Regd. Office at Tamil nadu) to this office citing an order of Hon'ble NCLT Division Bench (Court-I), Chennai dated 23/04/2025 (copy not enclosed along with service of CAA-3 on OL), we reply that this office has no representation to make before Hon'ble NCLT, Chennai for not having jurisdiction in respect of Transferor Company i.e. Nabsamruddhi Finance Limited as Official Liquidator, Hyderabad is having jurisdiction in this case as is evident from Master Data downloaded from MCA Website (copy enclosed herewith).

2. The above reply may be brought to the notice of Hon'ble NCLT, Division Bench (Court-I), Chennai, as we have no representation to make u/s 230(5) of Companies Act, 2013, in respect of Nabsamruddhi Finance Limited (Transferor Company) having registered office address at Hyderabad/Telangana.

3. However, it is apparently noticed by this office from the documents served on this office and linked documents on website of companies and NABARD that both companies in the scheme are subsidiaries of NABARD (not a company) which is wholly owned by Government of India, accordingly statutory auditor of both companies being appointed by C&AG u/s 139(5) of Companies Act, apart from audit by C&AG. Hence, it appears that both companies in scheme are Government owned/controlled other companies and not meeting definition of Government Company u/s 2(45) of Companies Act, 2013. For Government Companies i.e. Government Company u/s 2(45) of Companies Act, 2013, the word "Tribunal" is substituted with "Central Government"

Contd...2

under Sections 230-232 of Companies Act, 2013; vide notification no. GSR. 582 (E) dated 13/06/2017 read with G.S.R. 463(E) dated 5/6/2015 (Copies enclosed). However, as per latest Annual report of your company (extract of audit report) for 2023-2024, Statutory Auditor reported as if your company is a Government Company availing exemption meant for Government Companies regarding disqualification of directors (copy enclosed) and however, such exemption is not applicable to your company as not falling as Government Company u/s 2(45) of Companies Act, 2013. Hence, it may be checked at your end if your scheme is approved by Board of Directors consisting of directors who stood disqualified prior to their appointment, if any. This may also be brought to the notice of Hon'ble Tribunal.

Yours faithfully,

(POLA RAGHUNATH, ICLS)
OFFICIAL LIQUIDATOR
HIGH COURT, MADRAS

Encl: as above

Copy to:

1. The Regional Director,
Southern Region,
Ministry of Corporate Affairs,
5th Floor, Shastri Bhawan,
26, Haddows Road,
Chennai – 600 006.
Email id: rd.south@mca.gov.in

2. Namsamruddhi Finance Limited,
(Transferor Company)
Ground Floor, 1-1-61, RTC-X-Road,
Musheerabad,
Hyderabad – 500 020
Email id: nabsamruddhi@nabard.org.

3. Official Liquidator,
South East Region,
Ministry Of Corporate Affairs,
Attached to High Court Of Telangana,
1st Floor, Corporate Bhawan, Tatti Annaram,
Via- Nagole GSI(SR), Bandlaguda P.O.
Hyderabad-500068, Rangareddy District, Telangana.
Email id: ol.hyderabad@mca.gov.in
ol-hyderabad-mca@nic.in

for kind information

(POLA RAGHUNATH, ICLS)
OFFICIAL LIQUIDATOR
HIGH COURT, MADRAS

8.2.2 The Transferee Company in reply to the letter dated 13.05.2025 of the Official Liquidator, Chennai has filed a memo vide SR No.2971 dated 21.07.2025. The Transferee Company has stated that, the Statutory Auditor of Transferee Company has clarified vide letter dated 23.05.2025 that at the time when the scheme of merger with NABSAMRUDDHI FINANCE LIMITED with NABKISAN FINANCE LIMITED was approved by the Board of Directors of NABKISAN, no Director of NABKISAN was disqualified under clauses (a) or (b) of Section 164(2) of the Act.

8.3 **INCOME TAX AUTHORITIES**

8.3.1 The Notice was issued to the Income Tax Authority, Tamil Nadu on 06.05.2025.

8.3.2 However, the Income Tax authority, Tamil Nadu has not filed any reply / response pursuant to the notice. This Tribunal in terms of Section 230(5) of the Companies Act, 2013 presumes that the Department of Income Tax, Tamil Nadu does not have any objection to the sanction of the Scheme. Deemed Consent.

8.3.3 Nevertheless, the Assistant Commissioner of Income Tax, Circle – 5(1), Hyderabad, the assessing officer for the Transferor Company has filed a memo vide SR No. 2709 dated 07.07.2025.

8.3.4 It is stated that, there is a pending demand of Rs.145,791/- in case of Nabsamruddhi Finance Ltd (Transferor Company) for the Assessment Year 2008-2009 raised vide Order u/s 143(1) of the Income Tax Act, 1961 dated 11.03.2010.

8.3.5 It is stated that, since there is a pending demand, the Assistant Commissioner is filing report/objection against the proposed scheme of

amalgamation between Transferor and Transferee Company. It is stated that, unless the interest of revenue is protected in recovery of demand along with interest and penalties from the Transferor Company, and also that in the event, the Tribunal approves the scheme of amalgamation, this Tribunal may be pleased to order that the Resultant Company shall be liable to pay and honour all dues in respect of Transferor Company.

8.3.6 At this juncture, this Tribunal refers to the Order dated 12.11.2018 by NCLT, New Delhi in Company Petition CAA-284/ND/2018, wherein the following observations with regard to the right of the IT Department in the Scheme of Amalgamation were made:

"taking into consideration the clauses contained in the Scheme in relation to liability to tax and also as insisted upon by the Income Tax and in terms of the decision in ***RE: Vodafone Essar Gujarat Limited vs. Department of Income Tax (2013)353 ITR 222 (Guj)*** *and the same being also affirmed by the Hon'ble Supreme Court and as reported in* ***(2016) 66 taxmann.com.374(SC)*** *from which it is seen that at the time of declining the SLPs filed by the revenue, however stating to the following effect vide its order dated April 15, 2015 that the Department is entitled to take out appropriate proceedings for recovery of any statutory dues from the transferor or transferee or any other person who is liable for payment of such tax dues, the said protection be afforded is granted. With the above observations, the petition stands allowed and the scheme of amalgamation is sanctioned."*

8.3.7 In view of the above judgment, the rights of the Income Tax Department for recovery of any statutory dues from the Transferee Company relatable to the Transferor Company are protected.

8.4 **RESERVE BANK OF INDIA**

8.4.1 The Petitioner Company has filed an affidavit and stated that the notice of the Scheme was issued to Reserve Bank of India on 06.05.2025. In spite of notice, the Reserve Bank of India neither appeared before this Tribunal nor filed any objection

8.4.2 The Petitioner Company has brought this Tribunal's attention to the letter dated 02.07.2024 and 21.08.2024 by the Reserve Bank of India providing its approval for the Scheme of Amalgamation of Transferor and Transferee Company. The same is annexed as **Annexure N** along with the Petition typeset.

8.4.3 Thus, this Tribunal finds that the Reserve Bank of India does not have any objection to the sanction of the Scheme.

9. **ACCOUNTING TREATMENT**

Certificate dated 24.05.2025 has been issued by the L.U.Krishnan & Co, Statutory Auditor certifying that the Accounting Treatment specified in the Scheme of Arrangement between the Transferor and Transferee Company is in compliance with the applicable Accounting Standards as notified under Sec 133 of the Companies Act, 2013 and other Generally Accepted Accounting Principles, as applicable and the same is placed on record at page no 401 of the typeset.

10. **VALUATION**

The consideration for Scheme of Amalgamation based on the valuation report submitted by **Mr. Akshat Jain, Registered Valuer**, (*IBBI Regn. No.IBBI / RV / 06 / 2022 / 15048)* appointed by the Transferor and Transferee companies, is extracted here under:

"whereby 55(fifty five) new equity shares of NABKISAN finance limited having face value of Rs.10/-(Rupees ten only) each fully paid-up shall be issued to 58 (fifty eight) fully paid-up equity shares of face value of Rs.10/- (Rupees Ten only) each held in NABSAMRUDDHI Finance Limited."

11. **OBSERVATION OF THIS TRIBUNAL**

11.1 RD has raised an objection about the unspent amount aggregating to Rs.27.87 Lakhs towards CSR which has not been transferred in compliance with the provisions of Section 135(5) of the Companies Act, 2013. The Petitioner Company in response has filed an affidavit vide SR NO.3646 dated 02.09.2025 and clarified that, the unspent amount of Rs.27.87 lakh, pertaining to FY 2022-23 was fully spent within the timelines prescribed and there is no unspent CSR amount for FY 2022-23.

11.2 RD has also raised an objection about the Statutory Auditor's audit report of the Transferee Company for the FY 2022-23, wherein it is stated that a report under Section 143(12) has been filed in form ADT-4. Upon requesting for the acknowledgment of filing of form ADT-4, the statutory auditor of the Transferee Company has stated that, due to oversight, the matter was inadvertently referred. The Auditor has not filed any Form ADT-4 as mentioned in the Audit Report for the FY2022-23. In this regard this Tribunal observes that, the statutory auditor, G. Balu Associates LLP, of the Transferee Company for the FY 2022-23 vide letter dated 18.08.2025 has undertaken to file necessary compounding/adjudication application, if any applicable for the said contravention.

11.3 In respect of the observation made by the RD in regard to the invocation of Notification No.G.S.R 463(e) dated 5 June 2015 by statutory auditors for the FY 2022-23 and 2023-24, the Statutory Auditors G. Balu Associates LLP(for FY 2022-23), and L.U.Krishnan & Co(for FY 2023-24) have filed undertaking letters dated 18.08.2025 and clarified that the they had inadvertently mentioned the Transferee Company as Government Company, however, the Transferee Company is not a Government Company as per the Section 2(45) of the Companies Act, 2013. Further, the Statutory Auditors have clarified that no directors of the Transferee

Company were disqualified under Clauses (a) or (b) of Section 164(2) of the Companies Act, 2013 as on the date, the board of directors approved the Scheme of Amalgamation between Transferor and Transferee Company.

11.4 The RD in his report has stated that, the Transferee Company has an active pending charge of Rs. 100 Crores with State Bank of India and the same has not been shown as Secured Creditor. In reply to this observation, the Transferee Company has stated that, the SBI has sanctioned the working capital facility to the tune of Rs.100 crore on 23.04.2025. The present Petition was filed on 08.02.2025 and thus the SBI could not be shown as creditor of the Transferee Company.

11.5 This Tribunal observes that other than the above observations, the RD has not taken any other substantial objection to the scheme. The Petitioner Companies in reply to the RD's observations have undertaken to comply with the relevant provisions of the Companies Act, 2013.

11.6 In view of the secured loan sanctioned by SBI after the filing of Petition, this Tribunal vide order dated 08.10.2025 directed the Transferee Company to provide consent affidavit from SBI for the Scheme of amalgamation between Transferor and Transferee Company. Pursuant to this, the Transferee Company has filed a memo vide SR.No 4446 dated 22.10.2025 and annexed the consent affidavit provided by SBI for the Scheme of Amalgamation of Transferor and Transferee Company.

11.7 Further, this Tribunal vide order dated 08.10.2025 directed the Transferee Company to apprise the status of Scheme of Amalgamation Petition filed by Transferor Company before NCLT, Hyderabad. Pursuant to that, the Transferee Company vide SR.No: 4446 dated 22.10.2025 filed the Order dated 07.10.2025 of NCLT Hyderabad allowing Scheme of

Amalgamation filed by Transferor Company in CP(CAA)/12/230/HYD/2025.

11.8 This Tribunal is of the view that the scheme as contemplated amongst the Transferor and Transferee Company seems to be *prima facie* not, in any way detrimental to the interest of the members of the Company. In the absence of any material and substantial objections from any statutory authorities and since all the requisite statutory compliances have been fulfilled, this Tribunal sanctions the Scheme of Amalgamation, as well as allows the prayer made therein.

11.9 Notwithstanding the above, if there is any deficiency found, or the violation committed qua any enactment, statutory rule or regulation, the sanction granted by the Tribunal will not come in the way of action being taken, albeit, in accordance with the law, against the persons concerned, directors and officials of the petitioners.

11.10 While approving the Scheme as above, it is clarified that this order shall not be construed as an order in way granting exemption from payment of stamp duty, taxes or any other charges, if any, payment which is due or required in accordance with law or in respect to any permission / compliance with any other requirement which may be specifically required under any law.

12. **THIS TRIBUNAL DO FURTHER ORDER**

(i) That all properties, rights and interests relatable to the Transferor Company shall, pursuant to Section 232(3) of the Companies Act, 2013 without further act or deed be transferred and vested or be deemed to have

been transferred and vested in the Transferee Company in terms of the Scheme.

(ii) That all the liabilities, powers, engagements, obligations and duties relatable to the Transferor Company shall pursuant to Section 232(3) of the Companies Act, 2013 without further act or deed be transferred and vested or be deemed to have been transferred and vested in the Transferee Company in terms of the Scheme.

(iii) That the Appointed date for the Scheme shall be **01.01.2024** as mentioned in Clause 1.1 (d) of Part 1 of the Scheme.

(iv) That all proceedings now pending by or against the Transferor Company be continued by the Transferee Company.

(v) That all the employees/workmen engaged in the Transferor Company in service on the date immediately preceding the date on which the Scheme finally takes effect shall become the employees of the Transferee Company without any break or interruption in their service with all the benefits.

(vi) That upon the Scheme becoming effective and in consideration of the transfer and vesting of all assets and liabilities, duties, rights and obligations relating to the Transferor Companies in the Transferee Company, in terms of this Scheme, the Transferee Company shall, without any further application, act or deed, consent, acts, instrument or deed, issue such shares as specified in the Clause 5.1 of Part II of the Scheme to all the shareholders of the Transferor Company, whose names are recorded in the register of members as a member of the Transferor Companies on the Record Date or to such of their respective heirs, executors, administrators or other legal representative or other successors.

(vii) That the Transferee Company shall file the revised Memorandum of Association (MOA) and Articles of Association (AOA) with the concerned Registrar of Companies and further make the requisite payments of the differential fee (if any) for the enhancement of authorized capital of the Transferee Company after setting off the fees paid by the Transferor Company.

(viii) That the Petitioner Company, shall within thirty days of the date of receipt of this order cause a certified copy of this order to be delivered to the concerned Registrar of Companies for registration and on such certified copy being so delivered, the Transferor undertakings of the Transferor Company shall be deemed to be transferred to the Transferee Company and the Registrar of Companies shall take appropriate steps in accordance with the applicable rules and regulations.

(ix) That any person interested shall be at liberty to apply to the Tribunal in the above matter for any directions that may be necessary.

13**.** Accordingly, the Company Petition **CP(CAA)/15(CHE)/2025** stands **ALLOWED** on the aforementioned terms and is disposed of.

14. Files be consigned to records.

-Sd-

VENKATARAMAN SUBRAMANIAM
MEMBER (TECHNICAL)

-Sd-

SANJIV JAIN
MEMBER (JUDICIAL)